

ARCTIS TECHNOLOGIES LTD.

Ticker: ARC:NSE | Listed: NSE & BSE

Q2 2024 Financial Results

Unaudited Consolidated Financial Statements | Period Ended June 30, 2024

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Q2 FY2024 AT A GLANCE

Total Revenue	EBITDA	Net Profit	EPS
■ 2,104 Cr ▲ 22.1% YoY	■ 487 Cr ▲ 24.8% YoY	■ 231 Cr ▲ 19.2% YoY	■ 19.25 ▲ 16.7% YoY

CHAIRMAN & CEO COMMENTARY

Q2 FY2024 marks our strongest quarterly performance in the company's history. The launch of Arctis CloudEdge 3.0 in April exceeded adoption expectations, with 214 enterprise customers onboarded within 60 days of release. The acquisition of DataNova Analytics was completed in May, and integration is progressing ahead of schedule. DataNova contributed ■68 Cr to revenue in its first partial quarter under Arctis.

Our international revenue crossed the ■400 Cr milestone for the first time, growing 47% YoY, with strong momentum in UAE and Singapore markets. Headcount grew to 18,420 employees globally, reflecting our continued investment in AI talent. Attrition reduced to 11.2% annualised from 14.8% in Q2 FY2023, validating our talent retention initiatives.

— Rohan Mehta, Chairman & CEO, Arctis Technologies Ltd.

CONSOLIDATED PROFIT & LOSS STATEMENT

Particulars	Q2 FY2024 (■ Cr)	Q2 FY2023 (■ Cr)	YoY Change (%)
Revenue from Operations	2,104.1	1,723.8	+22.1%
Other Income	28.6	21.4	+33.6%
Total Income	2,132.7	1,745.2	+22.2%
Employee Benefit Expenses	1,012.4	838.6	+20.7%
Technology & Infrastructure	274.2	226.3	+21.2%
Sales & Marketing	168.4	142.1	+18.5%
General & Administrative	92.4	81.8	+12.9%
Total Expenses	1,547.4	1,288.8	+20.1%
EBITDA	487.3	390.2	+24.8%
Depreciation & Amortisation	108.6	92.4	+17.5%
EBIT	378.7	297.8	+27.2%
Finance Costs	16.8	21.4	-21.5%
Profit Before Tax (PBT)	361.9	276.4	+30.9%
Tax Expense	130.2	82.3	+58.2%
Net Profit After Tax (PAT)	231.7	194.1	+19.4%

SEGMENT-WISE REVENUE BREAKDOWN

Business Segment	Q2 FY2024 (■ Cr)	Q2 FY2023 (■ Cr)	% of Revenue	YoY Growth
Cloud Infrastructure Services	762.4	592.1	36.2%	+28.8%
AI & Data Analytics Platform	598.7	404.8	28.5%	+47.9%
Enterprise SaaS Products	418.6	368.4	19.9%	+13.6%
Managed IT Services	214.8	211.7	10.2%	+1.5%
Professional Services	109.6	146.8	5.2%	-25.3%
Total Revenue	2,104.1	1,723.8	100.0%	+22.1%

KEY OPERATIONAL METRICS

Metric	Q2 FY2024	Q1 FY2024	Q2 FY2023
Total Employees	18,420	17,640	16,210
Attrition Rate (Annualised)	11.2%	12.8%	14.8%
Active Enterprise Clients	1,842	1,714	1,543
New Enterprise Deals	61	47	38
Avg. Contract Value (■ Cr)	8.8	8.2	7.4
ARR (■ Cr)	7,640	6,840	5,920
International Revenue (■ Cr)	412.8	318.6	280.7
Revenue per Employee (■ Lakh)	11.42	10.44	9.88

OUTLOOK & GUIDANCE REVISION

Following the strong H1 FY2024 performance, management raises its full-year FY2024 revenue guidance to ■8,100–8,300 Cr (from ■7,800–8,000 Cr), reflecting DataNova contribution and stronger-than-anticipated CloudEdge 3.0 uptake. EBITDA margin guidance is maintained at 22–24%. A special interim dividend of ■5 per share has been declared, reflecting strong free cash flow generation.

DISCLAIMER: This document contains forward-looking statements based on current expectations. Actual results may differ materially. This report pertains to a fictional company created for educational purposes. All figures in Indian Rupees (Crores) unless stated otherwise.